

Swati Chugh — Index Fund vs. IUL: Simple Comparison

\$100k/yr for 10 years only • \$150k/yr withdrawals from Age 64 • No tax assumptions

ASSUMPTIONS

	Index Fund (S&P; 500 ETF)	Lincoln WealthBuilder IUL
Your cash outlay	\$100,000/yr for Years 1–10 only Total invested: \$1,000,000. Then STOPS.	\$0 — lender funds all premiums You never write a check.
Growth rate	9%/yr gross (S&P; 500 long-run avg) No taxes modelled	7.19%/yr credited (non-guaranteed) Per Lincoln Financial illustration
Withdrawals	\$150,000/yr gross starting Year 21 (age 64)	\$150,000/yr as tax-free policy loans from Year 21

ACCUMULATION PHASE — YEARS 1 TO 20 (before any withdrawals)

Year	Age	Your Annual Contrib	Index Fund Balance (gross)	IUL Net Cash Value	IUL Death Benefit
1	44	+\$100k	\$109,000	—	\$5,750,000
5	48	+\$100k	\$652,333	—	\$6,381,029
10	53	+\$100k	\$1,656,029	\$3,326,633	\$8,326,633
15	58	\$0	\$2,548,006	\$4,680,134	\$8,326,633
20	63	\$0	\$3,920,424	\$1,348,332	\$3,088,987

Note: IUL cash value at Year 20 is \$1,348,332 NET after repaying the \$5.24M financing loan from the policy's own value. Gross policy value before repayment was \$6,151,469.

WITHDRAWAL PHASE — \$150K/YR STARTING YEAR 21 (key milestones)

Year	Age	Cumulative \$150k Rcvd	Index Fund Balance	IUL Cash Value (Net)	IUL Death Benefit
21	64	\$150,000	\$4,123,262	\$1,322,504	\$3,015,057
25	68	\$750,000	\$5,134,351	\$1,288,841	\$2,958,027
30	73	\$1,500,000	\$7,002,129	\$1,479,690	\$2,915,634
35	78	\$2,250,000	\$9,875,937	\$2,126,170	\$3,045,790
37	80 ← AGE 80	\$2,550,000	\$11,420,101	\$2,564,940	\$3,619,392
40	83	\$3,000,000	\$14,297,647	\$3,473,105	\$4,766,676
43	86	\$3,450,000	\$18,024,152	\$4,739,521	\$6,323,876
50	93	\$4,500,000	\$31,568,790	\$11,069,442	\$12,577,529

INDEX FUND @ AGE 80

\$11,420,101

Remaining balance (gross, no tax assumed) After \$150k/yr for 17 years You invested \$1,000,000 (years 1–10 only)

IUL @ AGE 80

\$2,564,940

Cash value + Death benefit to heirs: \$3,619,392 (tax-free) You invested \$0 — lender paid everything

THE BOTTOM LINE: Putting \$100k/yr for 10 years into an S&P; 500 index fund at 9%/yr and withdrawing \$150k/yr from age 64 leaves you with ~\$11.4M at age 80 — the fund grows faster than you draw. The IUL leaves ~\$2.6M cash value at age 80 (plus \$3.6M death benefit tax-free to heirs) while costing you \$0. Trade-off: index fund builds more liquid wealth if you can invest \$1M of your own money; IUL wins on zero cash outlay, tax-free income, and a guaranteed death benefit.

THE HONEST ANSWER

	Index Fund	IUL
Your cash invested	\$1,000,000 (real money, from your pocket, yrs 1–10)	\$0 (lender pays everything — you never write a check)
Balance at age 80	~\$11.4M (gross, before any tax)	~\$2.6M cash value
Tax on withdrawals	Yes — capital gains tax owed every year you withdraw	No — policy loans are tax-free income
Death benefit to heirs	Whatever is in your account (taxable as part of estate)	\$3.6M at age 80, growing — income-tax-free to your heirs

INDEX FUND WINS IF...

- You have \$1M available to invest
- You are comfortable with market volatility
- You want maximum liquid wealth
- You don't need a death benefit
- You can manage the annual tax drag on withdrawals

IUL WINS IF...

- You want to invest \$0 of your own money
- You want tax-free retirement income
- You want a large tax-free death benefit for heirs
- You have better uses for that \$1M
- You want protection from market downturns (0% floor)

THE REAL QUESTION IS NOT 'which grows more' — it is: would you rather put \$1,000,000 of your own money to work in the market, or put \$0 in and use the bank's money while keeping your \$1M free for other opportunities?

Index fund projections are hypothetical using 9% gross annual return with no tax or fee assumptions. IUL values sourced from Lincoln Financial illustration dated March 10, 2026 at a 7.19% non-guaranteed credited rate. Actual results will vary. Not investment or tax advice.